exporting countries would already be serving it. Demand has been rising in Russia and several African nations, but India did not consider these options seriously in the past and is only now contemplating them as alternatives to offset the loss of the American market.

Meanwhile, Pankaj Chadha, chairman of the Engineering Export Promotion Council (EEPC), sees only two ways to keep oneself competitive in the market—undercut prices or offer customers more time to pay. Both will require government support. Exporters are seeking an extension of the interest subvention scheme to get loans at lower interest, and a rollout of the export promotion mission and market access initiative funds to help MSMEs (micro, small and medium enterprises) enter difficult markets.

Naushad Forbes, co-chairman of engineering solutions firm Forbes Marshall, advocates initiatives for the short, medium and long term to tackle the crisis. "The immediate short-term imperative is to help garment and jewellery companies retain customers with prompt support. The medium-term move is to encourage all Indian companies to diversify markets away from the US, with policy support in the form of free trade agreements with the rest of the world." In the long term, he feels, India must use this as an opportunity to unleash reforms (including land, labour, easing compliances etc.) that will be in our "economic national interest—with no political point-scoring".

The Centre has been on the job, talking to key stakeholders, including heads of associations representing the most impacted sectors such as textiles, engineering and MSMEs. FIEO, in a statement last month, said Union finance minister Nirmala Sitharaman had assured exporters of "comprehensive support" while urging them to protect livelihoods. Meanwhile, Union commerce minister Piyush Goyal on September 3 said that geopolitical issues may have overtaken trade negotiations with the US, but things would resume soon. "I do hope things will get back on track and we will conclude a BTA (bilateral trade agreement) by Fall or November, as was discussed by our two leaders," he said. However, exporters have also been asked to bear "short-term pain for long-term gain". The slogan has done little to reassure them, as they want the government to roll out a comprehensive relief plan.

IN THE MEDIUM TERM, INDIAN COMPANIES MUST DIVERSIFY MARKETS AWAY FROM THE US, WITH POLICY SUPPORT IN FREE TRADE AGREEMENTS VIA OTHER POTENTIAL MARKETS

Economist Ajit Ranade calls for a wait and watch approach. Since India does not have much leverage to retaliate with higher tariffs as China has with rare earth minerals, it should see how Trump's tariffs affect the prices of American goods. "Ultimately, importers or importing companies pay the higher tariffs, and eventually they will pass it on to the American consumers," he says. "Many studies are showing that while India's exporters may be hurt, 80 per cent of the burden of higher duties and costs will eventually be borne by the American consumers."

What India does need to do in the interim is enhance domestic competitiveness and deepen its own market, while improving productivity in agriculture as well as in industry. "We should increase our own domestic resilience," says Ranade. "Moreover, we should pursue a game of strategic patience in international geopolitics and develop strategic autonomy—not to be wholesale in one camp or the other." In other words, India should pursue its own self-interest and participate in different coalitions of common interest.

HELPING THE WEAKEST

The government must also focus on the most vulnerable, especially MSMEs. The engineering segment alone has some 6,300 MSMEs, of which 5,000-odd have an exposure of 20 per cent to the US market. According to Anil Bhardwaj, secretary general, Federation of Indian Micro and Small & Medium Enterprises, if the price differential between India and its rivals in the US market is 25-30 per cent, schemes like interest subvention alone will fall short. Such companies will need handholding to venture into newer markets such as the ASEAN bloc, China, Japan, South Korea, the EU, UK and Australia.

For, it isn't easy entering markets like the EU and UK. One problem exporters encounter is of non-tariff barriers related to quality standards. "Our inability to meet those standards comes from two aspects—the lack of technology to produce the kind of quality goods required to meet the standards, or the means to prove it through laboratory tests acceptable by those countries. This is where government support is needed in establishing such testing labs in India," says Bhardwaj.

For many Indian exporters, America was the promised land, a high-value, stable market they thought would last forever. That certainty has now vanished. In the churn Trump's tariffs have unleashed, some may perish, others survive. Trump himself could change his mind. But the lessons will remain. Do not put all your eggs in one basket. Do not wait for disaster to strike, prepare for it now. Increase self-sufficiency, improve productivity and efficiency and explore new markets. India could win this battle yet. ■

—with Avaneesh Mishra, Jumana Shah, Sonal Khetarpal and Jeemon Jacob